

How much should you spend on advertising?

Ogilvy & Mather can often answer this question through the use of a new analytical tool.

For the last year, Ogilvy & Mather has been using a technique that reveals the relationship between advertising expenditure, market share and profit.

This technique makes use of a mathematical model developed by the Hendry Corporation, an independent group of marketing consultants.

Ogilvy & Mather is the only advertising agency with rights to use it.

Its validity has been demonstrated with many products in many categories of consumer goods.

The information needed for the model is available from the current files of most advertisers. No need for extensive market tests or elaborate market research.

Results can be obtained quickly, and inexpensively.

The technique is new. Some of our clients are using it in planning their advertising budgets.

Others are testing it in the marketplace. Still others are considering how to apply it to their particular problems, or how best to translate what it tells them into marketing action.

We believe it is an important new tool for guiding strategic planning. It forces objective thinking.

The varying uses of the theory are reflected in the examples that follow. We put them forward to indicate how this new tool might help you clarify your own thinking about questions such as:

What is the optimum spending level for your product?

Analysis for one of our clients showed that he could cut advertising by \$3,000,000—with little decline in share of market but a significant increase in profits.

A similar analysis for another client

showed that he should double his already large advertising budget if he wished to achieve optimum profits.

If you manufacture a product with a small share of market you may choose to advertise beyond the point of maximum profit—in order to maintain distribution. This analysis will indicate how much advertising should be used.

On the other hand, if your product enjoys a high share of market, you may wish to sacrifice some profit in order to sustain this high share—for competitive reasons. Again, our analysis will suggest the appropriate level of advertising to accomplish this.

Whatever your marketing objectives, we believe you can now determine the optimum level of advertising consistent with them.

How much of your share of market is due to advertising?

For some products advertising accounts for a major part of their share of market; without any advertising their survival would be doubtful. For example, one brand studied had an 11 percent share of market. Analysis showed that its share would be only 6 percent in the absence of advertising.

For another brand, our analysis found that advertising contributed only one share point out of nine. However, unit margins were high enough to make this one share point very profitable.

We believe that for the first time it is possible to find out in dollars and cents what you are getting for your advertising dollars.

How can you best allocate your total advertising among different brands or among different forms of a single brand?

Most manufacturers who sell a number of products determine advertising budgets brand by brand. Total profits for the company can sometimes be increased by spending more on some brands and less on others than was determined on an individual basis; while the aggregate company advertising expenditure remains the same.

Ogilvy & Mather can now help you determine when this is the case—and how much to spend on each brand.

If your brand comes in more than one form you may be missing profit opportuni-

ties as a result of inefficient division of your advertising budget among the various forms.

One of our clients was marketing a product in four forms. All of the advertising was placed behind Form I. Our analysis showed that if he shifted a large part of his budget to Form III, he would increase his profit without affecting his total share of market.

How can you best allocate your advertising budget to different sales territories?

In the same way that brand shares can vary by sales territories, the productivity of advertising can also vary from territory to territory.

A regional analysis showed how one of our clients could realize \$300,000 in additional profit if he would reallocate his \$4,000,000 advertising budget.

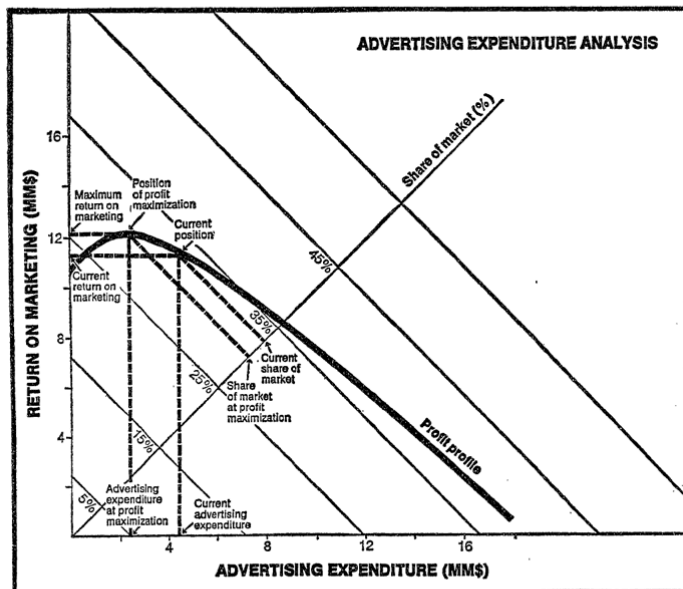
The analysis showed him how to distribute the money so that, dollar for dollar, it was equally productive in each of his marketing areas.

How big an advertising budget to introduce new products?

For one of our clients we found that the marketing objectives for a new product could not be achieved at an affordable level of advertising. So we advised them not to advertise at all.

For another new product, a brief market test was used to obtain data for use in the mathematical model. We were then able to determine the optimum advertising budget. The analysis indicated that less advertising than was used in the test would yield the most profitable results.

N.B. This method of analysis reflects conditions in the market at the time it is made; it does not allow for subsequent major changes. If marketing conditions change substantially, the analysis must be repeated.



A schematic representation of the relationship between Advertising, Share of Market and Return on Marketing. (Return on Marketing = Profits + Allocated Costs; it excludes the cost of advertising.)

This analysis shows that a cut of \$1,900,000 in Advertising (from \$4.3 to \$2.4 million) would result in maxi-

mization of return on marketing and an increase in returns (over and above the cut in advertising) of \$900,000 (from \$11,200,000 to \$12,100,000). This, however, would result in a drop in share of market of 3.5 percentage points (from 33.5 to 30.0) which might be harmful to the momentum of the brand in a highly competitive market.

**Ogilvy
&
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How Should You Spend Ad by David Ogilvy
(<https://swiped.co/how-should-you-spend-ad-by-david-ogilvy>)
Swiped in March 2014
Ran 1971